



## RIA M&A Advice Series

# How Much Is Your RIA Worth?

By Tyler D. Nunnally

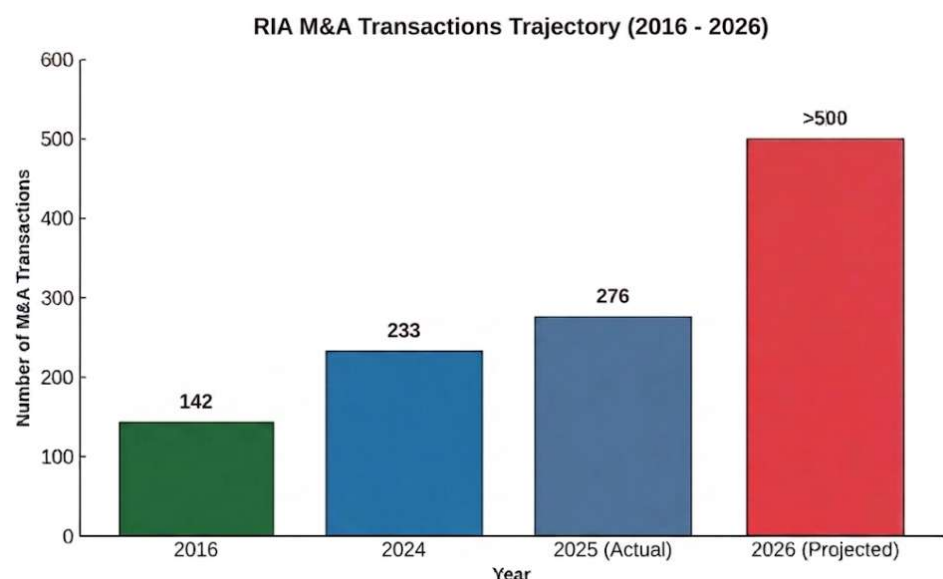
**Document Note:** This updated edition of our 2024 RIA M&A Advice Series offers a fresh look at a rapidly evolving deal environment, highlighting the inexorable forces reshaping the market today.

### Executive Summary & Key Takeaways

- **The M&A Engine is Accelerating:** Unprecedented demand, a vast pool of RIAs, and a looming retirement cliff continue to drive industry consolidation.
- **PE Backers Are Driving the Market:** Private equity-backed consolidators continue to dominate RIA M&A deal flow, raising compelling questions about the end game.
- **The Succession Crisis Is Here:** With nearly **45%** of advisors approaching retirement, aging RIA owners face a decisive moment.
- **Talent Divide:** An industry-wide talent shortage is creating a sharp divide between firms fetching a premium and ones depreciating in value.
- **The Impending Threat to Your Valuation:** AI-driven cyberattacks have emerged as the biggest threat and potentially most costly risk factor impacting firm valuations.

### RIA M&A Market Trends

The demand from RIA buyers has never been stronger. According to Fidelity, there were **233 RIA M&A transactions in 2024**, and the number rose to **276 in 2025**. The number of M&A transactions is expected to exceed a staggering **500 in 2026**. To help put that in perspective, that's up from around **142 deals a decade ago**.



## The M&A Engine

### 1. Unprecedented Demand

The insatiable demand for deals has in large part been driven by private equity (PE)-backed consolidators. According to Fidelity, **all of the top 20 acquirers by deal volume had PE sponsors in 2025**. 9 different PE sponsors back multiple consolidators now; in 2024, that number was 6. When considering the implications, key questions arise:

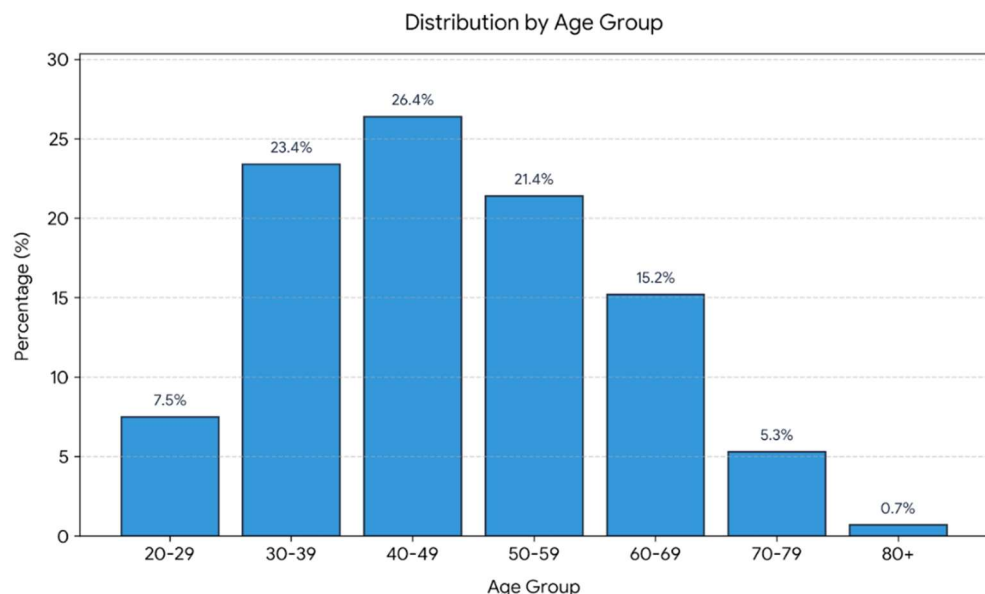
- When will those PE sponsors begin to consolidate the consolidators? It is likely not a matter of "if."
- From a wider point of view, what impact will combining the largest RIAs have on the competitive landscape across the industry?
- From a strategic perspective at the individual firm level, what competitive advantages and disadvantages will further consolidation have on your RIA?
- Will scale, technology spend, bigger marketing budgets, fee compression, custodial referrals, and AI threats eventually squeeze out smaller RIAs? And is that what PE sponsors are banking on longer-term?

### 2. Volume and Tons of Capital

The RIA industry has long been overdue for consolidation. SEC data shows that there are **over 16,000 registered RIAs as of year-end 2025**. That does not include RIAs registered at the state level, which typically fall under the SEC's \$100 million AUM threshold. The sheer number of firms is a strong indicator that the rapid pace of consolidation will continue. The amount of capital that PE firms continue to pour into RIA M&A is telling as well.

### 3. Retirement Cliff

Another indicator that M&A activity will continue at pace is demographics. The latest age distribution of CFP professionals reported by the **CFP Board shows that around 43%** of this cohort is at or nearing retirement age.



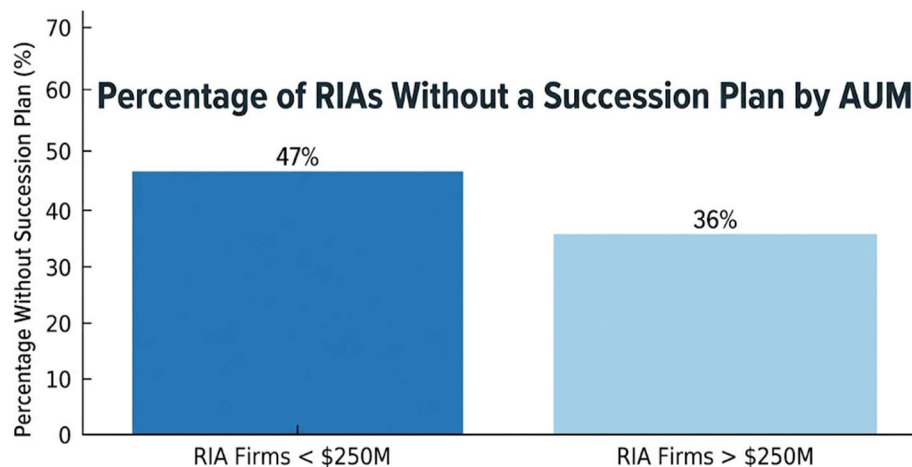
The figures from the CFP Board correspond with a **2025 J.D. Power survey** showing that **nearly 25% of financial advisors are over 65**. While not all RIA owners are CFP professionals and not all financial advisors own RIAs, the takeaway is clear: the industry is in the midst of a looming retirement cliff.

## **Factors Impacting Valuation**

### **1. Succession Crisis**

The RIA industry is facing a succession crisis centered around the aging demographic noted above. It is no secret; there is a slew of media coverage and industry commentary on the subject. We wrote about this topic in an earlier *RIA M&A Advice Series* and provided an analysis of both internal and external succession options.

The SEC has raised succession concerns as well. Firms we advise that have been audited report that regulators are putting a greater emphasis on succession planning as part of business continuity reviews. However, heightened regulatory scrutiny does not seem to be solving the issue, as evidenced by **Schwab's 2025 RIA Benchmarking Study**:



The results are alarming but not surprising if you have worked in the industry as long as I have. Kicking the can down the road is the easy option. Procrastination, wishful thinking, and complacency are prevalent across the board. That is not a knock—the numbers speak for themselves.

Given the risk, there is no excuse not to have a succession plan. The stakes are too high. If you need help, we consult on succession planning in addition to providing strategic M&A advisory services. A handful of other industry experts do as well.

We are now at a point where **having a succession plan is a distinct competitive advantage** when pitching prospects. Prospects and clients often ask, “*What happens to my money if something happens to you?*” Having a concrete response to that question

helps win new clients while giving existing clients peace of mind that ultimately leads to higher retention.

## 2. Talent Shortage

There are not enough experienced and qualified advisors to fill the roles of existing RIA owners once they sell and retire. This has contributed to an industry-wide talent shortage that has also been well documented.

However, RIA owners exiting the industry via a sale is not the only issue. Looking back at the age distribution graph above, **around 43% of advisors are at or nearing retirement age**. That creates a massive talent gap today that will compound over the coming years.

Given this talent shortage, inheriting a succession problem carries inherent costs that are becoming more apparent as the crisis grows, especially for consolidators and serial acquirers. The math is simple:

### **More Acquisitions = More Problems = More Costs**

Finding qualified replacements—if you can—and compensating them accordingly creates a major hurdle for acquiring firms. This is increasingly reflected in **discounted EBITDA calculations** for firms lacking successors.

This is not to suggest that valuations are unattractive for RIAs owned by aging founders; generally, they remain strong. Extraordinary demand will continue to generate lucrative offers. However, the older you are and the longer you defer a transition, the larger the problem—and consequently, the lower the valuation buyers are willing to pay while also diminishing the pool of quality acquirers.

## 3. Seller Premiums

For firms with established successors, **buyers are willing to pay a premium**. The same holds true for firms led by younger owners with longer runways. While age and succession are not the sole determinants of valuation, one constant remains: **buyers pay a premium for firms that demonstrate organic growth**.

The primary metric most sophisticated acquirers evaluate is the firm's **Compound Annual Growth Rate (CAGR)**. Firms generating double-digit growth in net new assets are particularly coveted.

Depending on the buyer, deal structure and the negotiation skills of your M&A advisor, growth multiples can add **2x to 6x above baseline valuation metrics**. This provides acquired firms that aren't currently growing an incentive to reignite growth during earnout periods. Of course, prior to signing an LOI, you will want to understand how a prospective M&A partner plans to help your firm hit those targets.

#### 4. AI Cybersecurity Threat

**AI is undoubtedly the most consequential shift over these last couple of years.** AI brings substantial rewards in productivity, enhanced marketing capabilities, and operational efficiency, but it also introduces risks that most RIAs are ill-prepared to manage—chiefly, the **threat of AI-driven cyberattacks**.

While this applies to many sectors, wealth management is a primary target due to the sensitive nature of client financial data (e.g., account numbers, balances, banking details, trading information, etc.). While cyber risk is serious today, **the threat level will rise sharply as AI proliferates**. The alarm bells are ringing in every direction.

As these risks escalate, firms with resilient cybersecurity systems will gain a decisive competitive advantage. Capital-rich RIAs with scale have the resources to afford advanced enterprise cybersecurity solutions. That is generally not the case for smaller RIAs that rely on legacy systems. Most firms lack the technical know-how and may not have the budgets necessary to keep pace with evolving AI cyber threats.

As cybersecurity costs inevitably rise, the added expense will **negatively impact the EBITDA margins buyers rely on to calculate valuations**. Yet in the uncharted era that is upon us, these operating costs pale in comparison to the catastrophic fallout of a major cyber breach by rogue AI agents.

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#### About Nunnally International, Inc.

Nunnally International provides strategic M&A services to RIA firms seeking to buy, sell, or merge their business. The company was founded in 2020 by Tyler D. Nunnally. M&A transactions closed to date represent around \$3 billion in assets under management (AUM).

Prior to entering M&A, Tyler served as a strategist to leading advisor technology providers—including FinaMetrica, which was acquired by Morningstar. He began his wealth management career in England as an executive at Oxford Risk, a spin-off of Oxford University specializing in behavioral finance.

Tyler has advised hundreds of RIA owners on mergers, acquisitions, succession planning and risk management. He is a frequent speaker at industry conferences, host of numerous webinars, and a prolific author of journal articles. He has managed key strategic relationships with partners including Schwab, Fidelity, Orion, Envestnet, eMoney, Fi360, Redtail, MoneyGuidePro, and SEI.

As an industry thought leader, Tyler has been interviewed by *The Wall Street Journal*, *Bloomberg*, *CNBC*, *Smart Money*, *Kiplinger*, and *InvestmentNews*. He holds a B.A. from the University of Georgia and a Master's in International Business with Distinction from the University of St Andrews in Scotland.

## How We Work with Clients

Nunnally International works with RIAs through two primary models. You can select the option that best fits your strategic goals:

### **Option A – Seller Representation**

*For firms seeking an end-to-end sell-side or merger advisor. Compensation is structured around a success fee aligned with final transaction value.*

- **Strategic Planning:** Define valuation benchmarks and transaction objectives.
- **Target Identification:** Construct a qualified shortlist of strategic and financial acquirers.
- **Go-to-Market:** Package and market the firm confidentially to prospective buyers.
- **Negotiation & Deal Structuring:** Solicit LOIs, optimize deal terms, and maximize purchase multiples.
- **Execution:** Oversee due diligence workflows, documentation, and transaction closing.

### **Option B – Referral Partner Network**

*For firms seeking introductions to qualified buyers through our network of approximately 22 strategic platform partners.*

**Zero Direct Cost:** Network partners cover advisory fees upon transaction completion.

- **Cultural & Structural Alignment:** Proprietary profiling matches your firm's specific strategic objectives, partnership criteria, investment philosophy, and firm culture with the best fit.
- **Facilitated Entry:** Initial confidential introductions and structured guidance through preliminary discussions.

**For more information call (404) 492-2152 or email [TNunnally@NunnallyInternational.com](mailto:TNunnally@NunnallyInternational.com)**